

COVER STORY THE MELTDOWN

"I can't do much about the carnage in the market. But I am hopeful that it will recover in a few months."

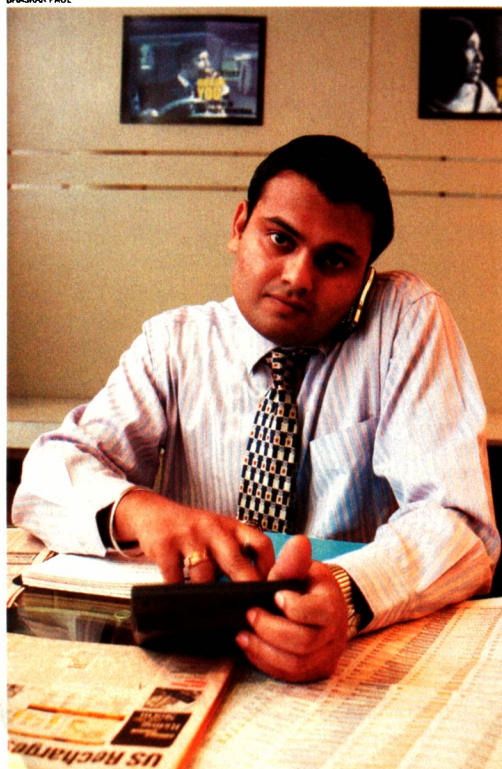
JAYANT PAWANIA 28, Banker

Lost Rs 3 lakh

MAINLY INVESTED IN

banks, real estate and capital goods
Pawania started investing in the stock market with Rs 50,000 in February 2007 when the Sensex was at 13,000-14,000 levels. He invested Rs 30,000-40,000 every month till December 2007. Till date his investment stands at Rs 6 lakh. Since December he has been closely watching the movement of the market. Though the market was at its peak in January he didn't book his profits as he expected it to rise further. Now he doesn't need to liquidate his shares but the value of his portfolio has gone down by 50 per cent in the last two weeks. He feels the market will take at least two years to reach the 20,000 benchmark. *by Nikita Jain*

BHASKAR PAUL



BHASKAR PAUL



RS 27,59,526 CR

and sms the new idiom of fear.

The concept of trust is once again trapped between a history of scams and the geography of meltdown. History is replete with instances of financial bubbles that have devoured economies. But as Marshall McLuhan said, "Only the vanquished remember history." This was true of India too. Between January 2007 and January 2008, the benchmark Sensex soared from 13,000 levels to touch 21,000, drawing investors like the Pied Piper. Risk then was at a discount and the opportunity of rewards at a premium. That confidence has now evaporated. To understand the magnitude of the crash, consider this: at peak valuation when the Sensex crossed 21,000, total market capitalisation (value of all shares listed) was over Rs 62,16,900 crore (\$1.58 trillion). This has been more than halved. Very simply, between January 14 and October 14 of 2008, investors have lost over half their wealth. The old maxim—returns cannot be without real risks—haunts investors.

As a tanking stock market and a credit crunch drove banks into shock, Indian businesses began